The U.S. software publishing industry is a cornerstone of the digital economy, providing the tools necessary that power nearly every modern business. From productivity suites and cloud services to AI-enabled analytics, software publishers develop and license products that drive efficiency, innovation, and communication across sectors. The purpose of this report is to provide SSG leadership with an overview of the U.S. software publishing industry, outlining its current performance, competitive environment, and emerging technological trends. For SSG, understanding the dynamics of the industry is crucial for making informed investment and partnership decisions. This report begins with an Industry Overview, followed by a Competitive Landscape summary, and lastly a Trends and Future Outlook analyzing artificial intelligence that is shaping the industry through 2030.

Industry Overview

The U.S. software publishing industry has experienced steady long-term growth and is projected to remail a major contributor to the digital economy. According to IBISWorld (2024), the U.S. software publishing industry revenue reached 541.3 billion in 2025, marking a 2.9 annual increase, with forecast showing continued expansion through 2030. This sustained growth shows industry resilience and essential role in supporting innovations across sectors such as cloud computing, artificial intelligence, and business analytics.

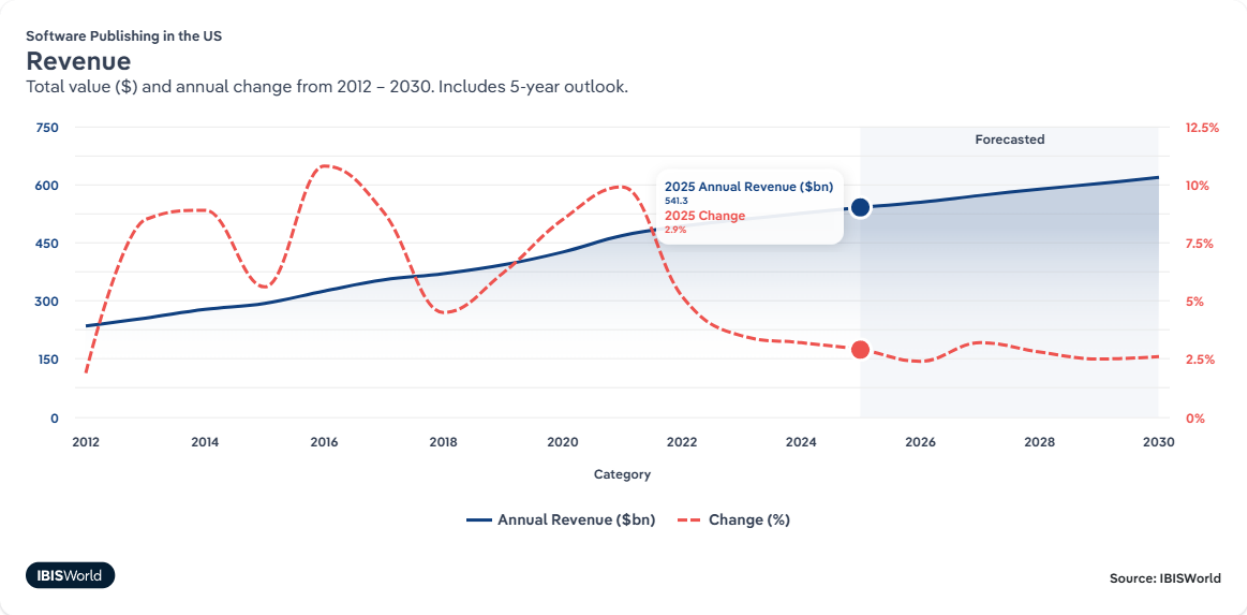

Figure 1 U.S. Software Publishing Revenue Forecast (2012–2030). Source: IBISWorld. (2024). Software publishing in the U.S.: Industry report 51121. https://www.ibisworld.com

Competitive Landscape

The U.S. software publishing industry is dominated by a small number of corporations whose scale, brand recognition, and R&D spending make them difficult to challenge. According to IBISWorld (2024), Microsoft leads the market with approximately 18.3% share and 99.1 billion in annual revenue, followed by Apple with 6.8%, and then Oracle with 4.0%. Together these companies account for nearly one-third of the total industry revenue. Their size allows them to invest heavily into product, development, acquisitions, and AI integration giving them a competitive advantage. For smaller firms, entering the market requires overcoming barriers such as brand loyalty, software compatibility, and high development costs. This

concentration of powers shows how innovation and scale continue to shape competitiveness in the U.S. software publishing industry.

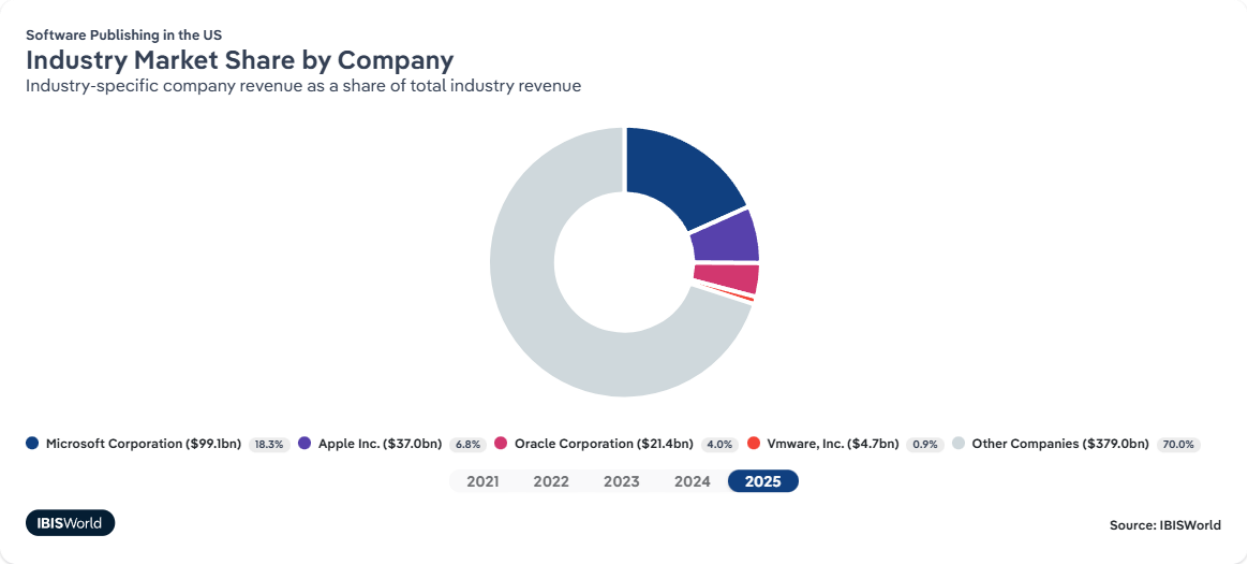

Figure 2. Software Publishing Market Share by Company (2025). Source: IBISWorld. (2024). Software publishing in the U.S.: Industry report 51121. https://www.ibisworld.com

Trends & Future Outlook

Artificial intelligence (AI) integration is transforming the U.S. software publishing industry, reshaping how companies develop, deliver, and differentiate their products. According to IBISWorld (2024), large publisher such as Microsoft and google have heavily invested in AI research and development, embedding advanced machine learning features into their platforms to enhance functionality and improve user experience. These tools like Microsoft copilot improve customer experience and expand market share for major firms. In contrast this allows smaller companies to struggle to keep up with the large corporations in the continuous adoption of new AI tools, deepening the divide between large and small publishers. For investors and strategic partners, these trends highlight the importance of innovation and scalability in maintaining relevance within an increasingly technology-driven marketplace.

Conclusion

This report provided SSG leadership with an overview of the U.S. software publishing industry, outlining its current performance, competitive landscape, and emerging technological trends. The Industry Overview revealed consistent revenue growth driven by rising demand for cloud-based and AI-enabled software. Competitive Landscape demonstrated that market power remains concentrated among a few leading firms, such as Microsoft, Apple, and Oracle, whose scale and innovation drive the industry's direction. Finally, the Trends and Future Outlook section showed that artificial intelligence and automation will continue to shape competition, widen market gaps, and fuel long-term growth opportunities. Together, these insights emphasize the industry's strength, stability, and importance for future digital partnerships. For additional information or follow-up discussion, my name is Adam Lappin, and you can email me at alappin@arizona.edu.

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